

estimated that Indian households collectively own around 25,000 tonnes of gold, then valued at approximately Rs 126 lakh crore. (In April 2025, that would have touched a stratospheric Rs 211 lakh crore—or $2.5 trillion—half of India's GDP.) Media reports suggest, moreover, that nearly 5,000 tonnes of 'idle' gold lie in temple vaults across the country. India also has a thriving gold loan market: its organised segment alone is estimated at Rs 7 lakh crore. That's the amounts of cash that comes into active play with gold as collateral.

THE SHINE OF JEWELLERY

Most of India's gold demand is met through imports. Government data shows that graph rose 30 per cent in FY24 to $45.54 billion (Rs 3.9 lakh crore), up from $35 billion in FY23. Robust demand for jewellery spurs it along. Organised jewellery retail accounts for 36-38 per cent of the overall Rs 6.4 lakh crore market, according to a report by financial services firm Motilal Oswal. A Crisil report says prices could trim sales volumes for organised jewellery retailers by 9-11 per cent in FY26. Still, revenues are projected to grow by 13-15 per cent, driven by higher prices and realisations, it adds.

Players such as Titan, Joyalukkas, Kalyan and Reliance Jewels are expanding their presence, while the Aditya Birla Group entered the market last year with its new brand, Indriya. The price surge is expected to have a two-way impact on them. One, operating margins are likely to break their declining trend, rising to 7.8-8 per cent in FY26. Two, their debt levels may rise due to higher inventory costs. Still, their "capital structure...will remain comfortable," says Gaurav Arora, Associate Director at Crisil Ratings.

Investors, meanwhile, face a tough choice: whether to hold on to their gold as a hedge against inflation or cash in on the current rally. The jolts of geopolitics, beginning with the Ukraine war in early 2022, followed by the Gaza offensive in late 2023, kept adding lustre to gold prices. Trump's April 2 tariffs lent a steroidal rush. "Any disturbance in stability in the world impacts gold prices. That's the safe-haven commodity people fall back on during times of uncertainty," says Bhargav Vaidya of consultancy BN Vaidya & Associates. It's often seen as the best hedge against currency depreciation and inflation.

Investments here typically take the form of gold ETFs (exchange-traded funds), gold mutual funds, digital gold via fintech platforms, gold savings schemes or sovereign gold bonds (issued by the RBI). A World Gold Council report stated in February that India's gold investment demand stood at 239 tonnes in 2024—the highest since 2013, and a 29 per cent rise from 185 tonnes in 2023. A sharp import duty cut last July (15 per cent to 6 per cent) played its part. At this level, India accounted for 20 per cent of global demand. At 1,180 tonnes, that itself had registered a 25 per cent rise in 2024.

WHAT NEXT?

Is it unrealistic to look for higher peaks? That question smote everyone when prices corrected following the April 22 peak, after Trump seemed to soften on China (and Powell).

On April 30, gold was trading at Rs 97,030 in Mumbai. Vaidya feels global trends will help transcend Rs 1 lakh again. Incidents like Pahalgam also tend to firm up gold, as they drag down the rupee. And in gold, India trusts. ■

GOLD FEVER

25,000 tonnes
Gold held by households in India. Worth Rs 126 lakh crore in '24—soaring today

$45.5 billion
Worth gold India imported in FY24, up 30% from FY23

29%
YoY growth in gold investment demand, reaching 239 tonnes in 2024

9-11%
Projected dip in jewellery sales volumes in FY26 due to high gold prices

13-15%
Revenue growth likely for jewellery retailers due to higher prices, realisations